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Subject: English1

Unit 6: Money

UNIT FOCUS:

- **Reading**: Money in an Economic System
- **Vocabulary**: Synonyms, Pairs
- **Grammar**: Simple Present Passive

"It is not how much money you make, but how much money you keep, how hard it works for you, and how many generations you keep it for".

(Robert Kiyosaki)

Money is an Economic System

Money **facilitates (1)** market activities and is necessary for complex market systems. With money, people can avoid the problems **associated (2)** with **coincidence (3)** of wants. Among these problems is the pricing of commodities. Prices stated in terms of all possible trading goods make it difficult to determine what anything costs. In **barter (4)** economies, hours are spent in **negotiating (5)** for even simple transactions; these hours are resources that could have been spent on other activities (therefore the hours of negotiations are the opportunity cost of a money economy).

The **functions (6)** of money **include (7)**: (1) **medium (8)** of exchange, (2) **store (9)** of value, and (3) a **measure (10)** of worth, because money is acceptable as a form of payment for all **commodities** (**11**). Barter is no longer needed. Money can be easily stored in a tin can or bank account so commodities need not be stored and can be **purchased (12)** when needed. Because money is acceptable in **virtually (13)** all **transactions (14**) prices can be stated in terms of dollars or dinar, thereby simplifying transactions **substantially (15)**. In other words, money is the grease that lubricates any complex economic system.

Fiat money is what is common in modern economic systems. Fiat money is money that is defined as legal **tender (16)** by either a government or some organization with the authority to define legal tender. In the United States, the Federal Reserve System Issues **Federal Reserve (17)** Notes, which serve as the legal tender for the United States. The **currency** (**18**) used here

is **backed** (**19**) by nothing except the **faith** of the general public that this money will be acceptable by everyone else with whom you could have an economic transaction.

President Nixon in 1971 took the United States off of the gold standard. Up to that point of time the **value** of the dollar was **expressed** (**20**) in some fixed **ratio** (**21**) to the commodity—gold. The end result was the dollar had become seriously **over-valued** (**22**) and something had to be done so that American exports could resume to our trading partners. When the U.S. **abandoned** (**23**) the gold standard gold went from less than forty dollars an **ounce** (**24**), to over $1,000 an ounce in a **matter** (**25**) of weeks, thus **illustrating** (**26**) the folly of **pegging** (**27**) one's currency to the value of some commodity.

Fiat money is not a new idea. Some European historians identify the first use of fiat money in Europe resulting from gold and silver smiths **issuing** (**28**) their **customers** (**29**) receipts for gold or silver left in their care. The **receipts** were **commands** over that gold and silver and began to **trade** as easily as the **commodity** itself, to the **extent** that the parties to the **transaction** knew of the smith and the note **bearer** (**30**) This **trade** in **receipts** dates back to the mid-fifteenth century. Hence, in this case the **value** of **money** is based on some **mutual** (**31**) **trust (**32) between the **principles** (**33**) to these transactions.

The first recorded use of fiat money, however, dates to three hundred years earlier in Asia. Because of the **shortage** (**34**) of gold and silver to run the Mongol Empire, Genghis Kahn began to issue orders, in writing, that the written **order** was to be given **deference (**35**)** as a specific amount of gold or silver. Genghis was known to be a **nonsense (36**) sort of guy, and the violation of his **decrees (37)** were clearly unhealthy acts. Therefore, these orders were the first **flat money** recorded in history, and not backed by anything save the martial (38) might of the Mongol Army. Perhaps, in **retrospect** (**39**) it is better that currency be acceptable on economic grounds40 than under threat of violence from a government.

Dilts, A. D. (2004). Introduction to Microeconomics, E201. (107-109). Fort Wayne, Indiana, Purdue University.

Glossary

1.	*Makes easy*	*7. Contain*	*13. Artificially nearly*	*19. Supported*	*25. During Business, Context*	*31. Bilateral*	*37. Orders, rules, decisions*
2.	*Related to*	*8. Means, Tools*	*14. Business deals*	*20. Indicated, Made known*	*26. Making the meaning of*	*32. Beliefs in honesty and goodness*	*38. Connected with war and fighting*
3.	*Co-occurrence, Consistency*	*9. Stock, fund, supplies*	*15. Considerably, significantly*	*21. Proportion, the quantitative relation between two*	*27. An amount, equal, set of saying prices*	*33. Rules*	*39. Thinking about the past*

				amounts showing the number of times that value contains one of the amounts within the other.			
4.	*Exchange of goods and services without using money*	*10. A standard unit, system*	*16. Money that must be accepted as payment*	*22. Valued more than it is*	*. 28. Producing*	*34. Lack, Scarcity*	*40. Economic reasons*
5.	*Discussing*	*11. Goods*	*17. Stock, supply, Store A supply of commodity or money not needed for immediate use but available if required.*	*23. Unreal, deserted, rejected*	*29. Client, Buyers*	*35. Respects, Polite behavior*	
6.	*Usages*	*12. Shopped*	*18. Money, legal tender*	*24. Approximately 28 grams*	*30. The holder, owner of the note who the note belongs to.*	*36. Stupid, Rubbish*	

Digest what you read

A. Based on the information given in the text select True, False, Not Given.

1. Money facilitates market activities and is necessary for complex market systems.
2. Fiat money is what is common in modern economic systems.
3. The first recorded use of flat money dates to 3000 years earlier in Asia.
4. Barter is acceptable as a form of payment, so money is no longer needed.
5. Pricing of commodities is a problem of coincidence of wants.

B. Select the best answer for the items below. Refer to the text to check your answers.

1- Which sentence is true?

a) Money facilitates market activities but is not necessary for complex market systems.
b) Without money, people can avoid the problems associated with coincidence of wants.
c) Pricing of commodities is a problem of coincidence of wants.
d) In barter economies, hours are wasted on unnecessary negotiations.

2- Which one is not a function of money? Money is a...

a) measure of worth
b) store of value
c) market facilitator
d) medium of exchange

3- Which expression is wrong about fiat money?

a. It is common in modern economic systems.
b. It is the currency used and acceptable by everyone having economic transaction in society.
c. It is backed up only by general public currently.
d. It is the legal tender.

4- Why did President Nixon take the U.S.A off of the gold standard?

a. Because the value of the dollar was in a fixed ratio.
b. Because the dollar had become seriously over-valued.
c. To help American exports resume to their trading partners.
d. To decrease the value of gold.

5- Barter is a system that historically existed since the beginnings of time. Why has barter been displaced by more modern systems?

a) The coincidence of wants makes exchange complicated
b) The coincidence of wants no longer exists in the world's economy
c) Gold and silver are now in plentiful supply so that money can be used
d) None of the above

C. Answer the following questions.

1. Does really money facilitate market activities?
2. Which function of money is the most important?
3. If the dollar gains value with respect to the Euro what would happen to the import and export?
4. Do you agree with the history of flat money?

Vocabulary Loading

A. Using the words given in the box, find pair pairs from the passage

Example : Barter - Economy

1. Market	6. Ratio	11. Value	16. Coincidence
2. Tender	7. Functions	12. Trade	17. Shortage
3. Receipt	8. Authority	13. Payment	18. Currency
4. Barter	9. Customer	14. Export	19. Commodities

5. Fiat	10. Medium	15. Account	20. Negotiations
21. Transactions			

B. Match the words with their synonyms.

A) Deals	H) Business place	O) Use
B) Invoice	I) Currency	P) Government
C) Legal tender	J) Order	Q) Scarcity
D) Proportions	K) Goods	R) Means, method
E) Buyer	L) Discussions	S) Transmit
F) Exchange	M) Goods exchange	T) Price, worth
G) Financial record	N) Coexistence	U) Remittance

C. Find matching pairs. Translate them into Arabic.

Part 1	**Part 2**	**Pairs**	**Translation**
Market	The problems		
Avoid	Wants		
Pricing of	Activities		
Coincidence of	Commodities		
Trading	Economy		
Barter	Goods		
Money	Economy		
Hours of	Exchange		
Functions of	Negotiations		
Medium of	Money		

Part 1	**Part 2**	**Pairs**	**Translation**
Customer	Bearer		
Note	Trust		
Mutual	Receipts		
Gold	Smith		
Recorded	Orders		
Issue	Decrees		
Unhealthy	Grounds		
Economic	Acts		
Violation of	Gold		

Shortage of	Use		
Part 1	**Part 2**	**Pairs**	**Translation**
Store of	Tender		
Measure of	Value		
Form of	Worth		
Bank	Public		
Legal	Payment		
Reserve	Ratio		
General	Partners		
Fixed	Commodities		
Trading	Notes		
Value of	Account		

D. Pair Work: Fill in the blanks using the proper words from the previous section.

1. With money people can avoid the problems associated with _____ wants.
2. Because money is acceptable as a _____ payment for all commodities, barter is no longer needed.
3. The end result was the dollar had become seriously over-valued, and something had to be done so that American exports could resume to our _____ partners.
4. Some European historians identify the first use of fiat money in Europe resulting from gold and silver smiths issuing their _____ receipts for gold or silver left in their care.
5. Genghis was known to be a nonsense sort of guy, and the violation of his _____ were clearly unhealthy acts.

E. Match the words on the left with their synonyms on the right. Find their Arabian equivalents with your partner.

Words	Definitions	Translation
1. Strength	a. Financial	
2. Monetary	b. Power	
3. Income	c. Rising prices	
4. Net	d. Benefit	
5. Foreign	e. Components, Parts	

6. Decline	f. Respective, proportional
7. Relative	g. Reduction
8. Constituents	h. Overseas
9. Advantage	i. After deductions
10. Inflation	j. Earnings

Grammar injection

Fill in the blanks with the correct form of the verbs from the reading .

Spend, Facilitate, State, Purchase, Express, Begin, Give, Do, Back, Define

1. Money _____ market activities and is necessary for complex market systems.
2. In barter economies hours _____ in negotiating for even simple transactions; these hours are resources that could have been spent on other activities.
3. Money can be easily stored in a tin can or bank account, so commodities need not be stored and can _____ when needed.
4. Fiat money is money that _____ as legal tender by either a government or some organization with the authority to define legal tender.
5. The currency used here _____ by nothing except the faith of the general public that this money will be acceptable by everyone else with whom you could have an economic transaction.
6. Up to that point of time the value of the dollar _____ in some fixed ratio to the commodity—gold.
7. Because of the shortage of gold and silver to run the Mongol Empire, Genghis Kahn began to issue orders, in writing, that the written order was to be _____ deference as a specific amount of gold or silver.
8. Because money is acceptable in virtually all transactions, prices can _____ in terms of dollars or yen thereby simplifying transactions substantially.
9. The end result was the dollar had become seriously over-valued, and something had to be _____ so that American exports could resume to our trading partners.
10. Because of the shortage of gold and silver to run the Mongol Empire, Genghis Kahn _____ to issue orders.

Grammar Handling

In scientific and academic texts where the author is writing, the passage uses plenty of **passive verbs**. The reason is, in passive voice, the **performer or narrator is not important**, but the **action and the text are**. And in academic texts the text and its information are reliabl[1]e but not the writer.

Form of Passive

Subject + finite form of to be + Past Participle

How to change active into passive

the object of the active sentence becomes the subject of the passive sentence

the verb is changed to (to be + past participle)
the subject of the active sentence becomes the object of the passive sentence (or is dropped)

Tense	**Subject**	**Verb**	**Object**
Active	An economist	defines	flat money
Passive	Flat money	is defined	by an economist

In the example above, it is not necessary to say who defines fiat money; it is clear that the definition of fiat money is important. So, you find the passive structure in the text not the active.

Translate the text into Arabic.

Strong dollar policies promote the importation of goods and services from abroad, and foreign investment in our domestic enterprises. On the other hand, a weak dollar policy promotes the exportation of goods and services abroad, and U.S. investment overseas. Often, the international aspects of domestic monetary and fiscal policies are less important than political consideration in the U.S. or policy consideration concerning unemployment or inflation. However, one must always remember that lobbyists and special interest groups are quick to point-out to policy makers the advantages and disadvantage of either policy for their constituents back home.

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Self-check

Check your progress in this unit. Tick (√) the statements which are true about you.

- I can define currencies and exchange rate in English.
- I have learned more than 50 words from this unit.
- I can expand my vocabulary with synonyms.
- This unit helped me understand my technical subject better.